Economic Value Added (EVA)

profit after charging for capital!

Strategic Performance Management and Business Valuation

In simple words *EVA tells whether profit is enough to pay everyone who gave money, including shareholders.*

1 EVA

Net operating profit after tax minus the capital charge. It is the surplus left after paying the cost of all capital used.

Positive EVA = wealth created

2 Capital Charge

WACC multiplied by capital employed. It includes a cost for equity, which normal accounting profit ignores.

Equity is not free!

1. EVA > 0 means value is created; EVA < 0 means value is destroyed
2. Accounting profit ignores the cost of equity; EVA charges it
3. Use NOPAT (after tax, before interest) as the profit figure
4. Used for divisional performance and manager bonus linking



Swipe for the formula →

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THE EVA FORMULA

Economic Value Added (EVA)

profit minus capital rent

Economic Value Added

$$EVA = NOPAT - (WACC \times CE)$$

NOPAT = net operating profit after tax; WACC = weighted average cost of capital; CE = capital employed

NOPAT

$$NOPAT = EBIT \times (1 - t)$$

EBIT = operating profit before interest and tax; t = tax rate

WACC

$$WACC = Ke \cdot We + Kd(1 - t) \cdot Wd$$

Ke = cost of equity; Kd = pre-tax cost of debt; We, Wd = proportions of equity and debt in capital

PROFIT IS NOT ALWAYS VALUE! A firm can show accounting profit and still have negative EVA if profit is below the capital charge.

Swipe for a memory trick ⟶

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STUDY TRICK

Economic Value Added (EVA)

remember the three steps

PROFIT PAYS RENT

Capital is a rented shop: NOPAT is your earning, WACC × CE is the rent. What remains after paying rent is EVA.

HOW TO ATTEMPT IT

1 Find EBIT, then NOPAT → 2 Find WACC (Kd after tax) →

3 Find capital employed → 4 Capital charge = WACC × CE →

5 EVA = NOPAT – charge

EXAM TIP

Check the question for which capital base is given, then use it as given. Write the capital charge line separately for step marks.

DOUBT BUSTER

Why is interest not deducted in NOPAT? Interest is already covered in the capital charge through WACC. Deducting it in NOPAT too would charge debt twice.

Swipe for common mistakes →

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COMMON MISTAKES

Economic Value Added (EVA)

avoid these mark losers

✗ Using profit after interest as NOPAT

✓ Use EBIT × (1 – t); interest is covered by the capital charge in WACC.

✗ Using pre-tax cost of debt in WACC

✓ Use Kd × (1 – t) because interest gives a tax shield.

✗ Ignoring cost of equity in the capital charge

✓ Include Ke with equity weight in WACC; equity has a cost.

✗ Saying positive accounting profit means positive EVA

✓ EVA is positive only if NOPAT exceeds WACC × capital employed.

TOMORROW'S CMA FINAL MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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